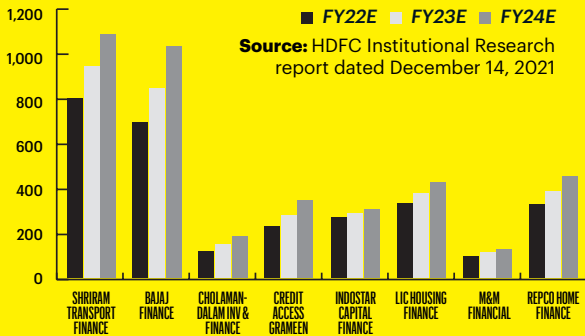




PLAYING THE LONG GAME

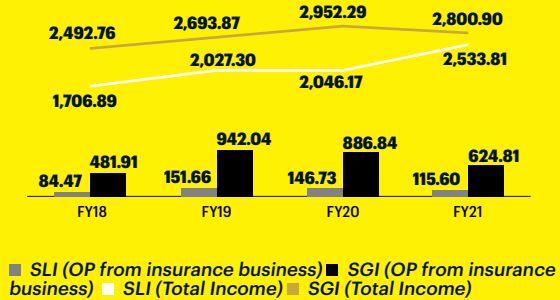
With STF and SCUF consolidating under SCL, the merged entity will have stolen a march over its peers in terms of book value



THE STATE OF INSURANCE

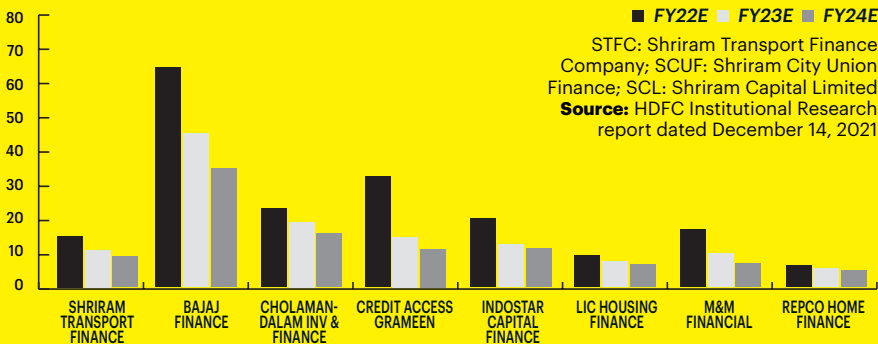
Shriram's insurance businesses have seen operating profits slip

All figures in ₹ crore; SLI: Shriram Life Insurance; SGI: Shriram General Insurance; OP: operating profit
Source: ACE Equity



COMPETITION HEATS UP

Although profitable, Shriram's price-earnings ratio needs beefing up compared to peers



₹250

CRORE

EQUITY BASE OF SHRIRAM GENERAL INSURANCE

₹175

CRORE

EQUITY BASE OF SHRIRAM LIFE INSURANCE

employee productivity leading to lower customer acquisition cost. All this stands on the tech framework for the combined entity that enables seamless data mining and utilising AI and ML to offer the best service to customers."

There are around 6 million customers across STFC and SCUF with minimal overlap, implying a huge opportunity to cross-sell. "As reflected by the company, seven of every 10 STFC customers have already taken other products from the Shriram ecosystem and the firm aims to get to at least two products per customer in the foreseeable future," says Kandoi. On the anvil is a ShriramOne app, which will allow a customer to access the entire product range and also make bill

payments. To Thyagarajan, the primary business is simple and that is to extend credit. "It just happened that we started off in the commercial vehicles business since access to credit there was limited. Over time, it has extended to non-transport areas such as SMEs. The customer is most important in this entire piece."

THE INSURANCE PLANK

The merger keeps Shriram's insurance businesses out of the picture. In fact, that is the piece that Thyagarajan is most enthusiastic talking about. To him, the next decade will see the existing businesses "doing reasonably well but insurance will grow very impressively." With presence in both life and general, the insurance vertical has been a

quiet performer, but Thyagarajan believes there is much scope. "We have STFC and SCUF as a ready customer base and that leads to minimum costs being incurred," he explains. At the time of getting started with life insurance, Shriram (the joint venture partner for both life and general is South African financial services group, Sanlam), had an equity base of just ₹125 crore. "The regulator found that hard to believe and was initially reluctant to give us a licence," says Thyagarajan. He is quick to explain that Shriram Life Insurance has been making a profit from the beginning.

In the general insurance space, it has worked hard on reducing the number of days to settle a claim. It started off with 70 days, which